

Poverty, Unemployment and Human Development

Chapter F4.4 — Where the Definitions Are More Examinable Than the Numbers

Module	Foundation Layer — Module 4 — Indian Economy, Population, Development and Globalisation
Chapter	Chapter F4.4
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MUST MASTER · IN THIS CHAPTER, LEARN THE DEFINITIONS AND NOT THE NUMBERS

Poverty and unemployment are the parts of Module 4 where candidates waste the most time, because the statistics are voluminous, they change every survey round, and they are the least likely thing to be asked.

What is asked is the machinery of measurement. Which committee used consumption expenditure rather than calories. What the unemployment rate is a percentage *of*. Which three dimensions the Human Development Index combines and by what kind of average. Whether a rising Gini means more or less inequality.

Those have permanent answers. **A current unemployment rate does not**, and it is quoted in this chapter only in a dated callout with a source, per the convention set in F4.1 §0.

So: learn §1's committee sequence, §2's four unemployment concepts and three rate definitions, and §3's index compositions. Read the numbers once and let them go.

Table of Contents

0. How This Chapter Works

1. Session 1 — Poverty ★★★★★

- 1.1 The two concepts
- 1.2 The committees, in order
- 1.3 The measures
- 1.4 The Multidimensional Poverty Index

2. Session 2 — Unemployment ★★★★★

- 2.1 The types
- 2.2 How India measures it
- 2.3 The rural employment guarantee — MGNREGA replaced

3. Session 3 — Human Development and Inequality ★★★★★★

- 3.1 The Human Development Index
- 3.2 The related indices
- 3.3 Measuring inequality

4. Session 4 — The Welfare Architecture ★★★★★★

5. Graded Practice — 20 Questions ★★★★★★

- 5.1 Level 1 — Poverty and unemployment concepts
- 5.2 Level 2 — Measurement
- 5.3 Level 3 — Recruitment Test standard

6. Answers and Explanations

- 6.1 Level 1
- 6.2 Level 2
- 6.3 Level 3

7. One-Minute Revision

8. Five-Minute Wall Sheet

0. How This Chapter Works

STUDY SESSION · CHAPTER F4.4

1. **Session 1** — Poverty: concepts, committees and measures (§1) ★★★★★
2. **Session 2** — Unemployment: the types, and how India measures it (§2) ★★★★★
3. **Session 3** — Human development and inequality indices (§3) ★★★★★
4. **Session 4** — The welfare architecture (§4) ★★★★★

Then 20 graded questions in §5. Budget **one evening**. §4 overlaps Module 3 substantially and can be read as revision.

1. Session 1 — Poverty ★★★★★

1.1 The two concepts

Concept	Meaning
Absolute poverty	Deprivation measured against a fixed line — a specified basket or calorie norm — the same standard regardless of what others have
Relative poverty	Deprivation judged against the standard of living prevailing in that society . A relatively poor person in a rich country may be absolutely better off than an average person in a poor one

Developing countries generally measure absolute poverty; developed countries generally measure relative poverty, often as a fraction of median income. The distinction is the commonest conceptual question in the topic.

1.2 The committees, in order

MUST MASTER · THE SEQUENCE, AND WHAT EACH CHANGED

The examiner asks either **who used what basis** or **in what order they reported**. Both are answered by this table.

Committee / Group	Year	What it did
Dandekar and Rath	1971	Early estimation based on calorie norms
Alagh Task Force	1979	Fixed the poverty line on calorie intake: 2,400 kcal rural, 2,100 kcal urban
Lakdawala Committee	1993	State-specific poverty lines; used CPI-IW and CPI-AL to update them
Tendulkar Committee	2009	Moved away from calories to Monthly Per Capita Consumption Expenditure (MPCE) , a mixed reference period , and included health and education spending
Rangarajan Committee	2014	Reverted to separate rural and urban baskets; produced higher poverty estimates than Tendulkar

The two facts most often tested: the **calorie norms are 2,400 rural and 2,100 urban** — note that the **rural** figure is the higher one, because rural work is more physically demanding, which is the counter-intuitive part — and **Tendulkar is the committee that abandoned the calorie basis for consumption expenditure**.

The order is Alagh (1979) » Lakdawala (1993) » Tendulkar (2009) » Rangarajan (2014).

1.3 The measures

Measure	What it captures
Head count ratio	The proportion of the population below the line. Says nothing about how far below
Poverty gap index	The average shortfall from the line — the depth of poverty
Squared poverty gap	Weights larger shortfalls more heavily — the severity of poverty

Why more than one is needed: if a transfer moves a person from just below the line to just above it, the head count improves markedly while the poorest are untouched. The gap measures are what prevent that from looking like success.

1.4 The Multidimensional Poverty Index

Feature	
Global MPI	Published by UNDP and the Oxford Poverty and Human Development Initiative (OPHI)
National MPI	Published by NITI Aayog
Method	The Alkire-Foster method
Three dimensions	Health, education, and standard of living
Indicators	Twelve in the national index, drawn from the National Family Health Survey

The point of a multidimensional measure is that income is a means and not the deprivation itself: a household above an income line but without sanitation, schooling or clean fuel is poor in a sense the income line cannot see. **The three dimensions are health, education and standard of living** — note that **income is not one of them**, which is exactly what a question will test.

CHECK YOURSELF · SESSION 1

1. Distinguish absolute from relative poverty, and say which kind each type of country measures
2. Give the calorie norms and say which is higher, rural or urban, and why
3. Which committee replaced calories with consumption expenditure, and in what year?
4. Put Alagh, Lakdawala, Tendulkar and Rangarajan in order
5. Name the three poverty measures and what each adds
6. Give the three dimensions of the MPI and the two bodies that publish the global and national versions

2. Session 2 — Unemployment ★★★★★

2.1 The types

Type	Meaning
Open	Willing and able to work, no work available at all
Disguised	More people employed than are needed — removing some would not reduce output. Characteristic of Indian agriculture
Seasonal	Work available only in part of the year — again agriculture, and tourism
Structural	A mismatch between workers' skills or location and the jobs available. Long-lasting
Cyclical	Caused by a downturn in aggregate demand ; disappears in recovery
Frictional	Short-term, while moving between jobs — a search phenomenon, not a shortage
Technological	Displacement by mechanisation or automation
Educated / underemployment	Qualified persons in work below their qualification, or working fewer hours than they wish

TRAP · DISGUISED, STRUCTURAL AND CYCLICAL ARE THE THREE THAT GET SWAPPED

- **Disguised** — the work is *shared* among too many. Output would not fall if some left. **Agriculture**
- **Structural** — the jobs exist but the **skills or location do not match**. A textile worker in a district where only software firms are hiring
- **Cyclical** — the **jobs have temporarily disappeared** because demand fell. A construction worker in a recession

The distinguishing question is: **is the problem too many people for the work (disguised), the wrong people for the work (structural), or not enough work for now (cyclical)?** Each is offered as a distractor for the others.

2.2 How India measures it

Approach	Reference period
Usual Status (principal + subsidiary)	The preceding 365 days — the <i>long-term</i> measure, gives the lowest unemployment rate
Current Weekly Status	The preceding 7 days
Current Daily Status	Each half-day of the reference week — the most exacting, gives the highest rate

The three rates, and what each is a percentage of:

Labour Force Participation Rate (LFPR) = labour force ÷ population
Worker Population Ratio (WPR) = employed persons ÷ population
Unemployment Rate (UR) = unemployed persons ÷ LABOUR FORCE

MUST MASTER · THE UNEMPLOYMENT RATE IS A SHARE OF THE LABOUR FORCE, NOT OF THE POPULATION

This is the single most examined definition in the topic, and getting it wrong makes every related calculation wrong.

The labour force = the employed + the unemployed who are actively seeking work.

Someone who is not looking for work — a student, a homemaker, a retired person — is **outside the labour force entirely** and appears in **neither** the numerator nor the denominator of the unemployment rate.

Two consequences that are asked:

1. **The unemployment rate can FALL because people stop looking for work.** They leave the labour force, so the denominator shrinks and the numerator shrinks — an improvement in the rate that reflects discouragement rather than employment. This is why the **LFPR must be read alongside the UR**
2. **India's female LFPR is far below the male figure**, which is the largest single reason overall LFPR is low. A low female LFPR *reduces* the measured unemployment rate, because women not seeking work are not counted as unemployed

The survey: the **Periodic Labour Force Survey (PLFS)**, conducted by the **National Statistical Office under MoSPI**, which began in 2017-18 and is **now released monthly** as well as quarterly and annually — a change from the earlier annual-only design, and worth knowing because older material describes it as an annual survey.

KNOW · THE LABOUR MARKET READING [AS AT 16 AUG 2026] · RE-VERIFY BEFORE THE PAPER

Indicator (persons aged 15 and above)	Reading
Unemployment rate	about 5.1% (March 2026)
LFPR	about 55.4% (March 2026); 54.4% in June 2026
Worker Population Ratio	about 52.6% (March 2026)
Female LFPR	about 34.4% (March 2026)
Urban unemployment rate	about 6.7% (April–June 2026); rural about 4.2%

Sources: PIB release on the March 2026 monthly PLFS · MoSPI monthly press note, June 2026
 · PIB on urban unemployment, April–June 2026

The durable points behind the numbers: the **urban rate exceeds the rural rate**, which surprises people and is explained by disguised employment absorbing rural labour rather than by rural prosperity; and the **female LFPR is roughly a third**, well under half the male rate. *Content rephrased from the sources for compliance with licensing restrictions.*

2.3 The rural employment guarantee — MGNREGA replaced

HIGH YIELD · THE GUARANTEE IS NOW 125 DAYS, NOT 100 [AS AT 16 AUG 2026]

This is the most important correction in Module 4, and almost all existing study material gets it wrong.

The **Mahatma Gandhi National Rural Employment Guarantee Act, 2005** has been **REPLACED** by the **Viksit Bharat — Guarantee for Rozgar and Ajeevika Mission (Gramin) Act, 2025**, known as **VB-G RAM G**.

Item	Position
Passed by Parliament	18–19 December 2025
In force across India	1 July 2026
The guarantee	125 days of wage employment per rural household per financial year — up from 100
Who is entitled	Every rural household whose adult members volunteer for unskilled manual work
Design	Links employment to durable rural infrastructure and climate resilience; aligned to Viksit Bharat @2047
Contested	A greater share of funding on States ; top-down allocation; face-authentication attendance

Sources: PRS Bill Track · PIB on the 125-day guarantee · Economic Times explainer

What carries over. The architecture is recognisably the same: a **legal guarantee** rather than a scheme, an **unemployment allowance** if work is not provided within **15 days**, **one-third participation by women**, **social audit** by the Gram Sabha, and a **demand-driven** design in which the work follows the application rather than an allocation.

What to hold for the paper: 100 becomes 125, passage is **December 2025**, and commencement is **1 July 2026**. An option offering 100 days is the **superseded** answer; an option offering December 2025 as the date the guarantee changed confuses passage with commencement. F10.3 §2.2 carries the fuller record. *Content rephrased from the sources for compliance with licensing restrictions.*

CHECK YOURSELF · SESSION 2

1. Distinguish disguised, structural and cyclical unemployment in one question each
2. Which reference period gives the lowest measured unemployment, and which the highest?
3. Define LFPR, WPR and UR, naming the denominator of each
4. How can the unemployment rate fall without anyone finding work?
5. Which Act now provides the rural employment guarantee, from what date, and for how many days?
6. Name four features that carried over from MGNREGA

3. Session 3 — Human Development and Inequality ★★★★★

3.1 The Human Development Index

MUST MASTER · THREE DIMENSIONS, FOUR INDICATORS, AND A GEOMETRIC MEAN

Feature	
Published by	UNDP, in the Human Development Report , first in 1990
Conceived by	Mahbub ul Haq, with Amartya Sen
Dimension 1 — health	Life expectancy at birth
Dimension 2 — education	Mean years of schooling (adults) and expected years of schooling (children)
Dimension 3 — standard of living	Gross national income per capita, at purchasing power parity
Aggregation	The GEOMETRIC mean of the three dimension indices
Range	0 to 1

Three things get asked, and all three are in that table:

1. **What is NOT in the HDI.** Unemployment, inequality, poverty, gender and environmental quality are all **absent**. The HDI is deliberately austere — three dimensions, nothing else — and separate indices exist for the rest
2. **The geometric mean, not the arithmetic.** This was a change made in 2010, and it matters substantively: a geometric mean **punishes imbalance**, so a country cannot compensate for very low life expectancy with very high income. An arithmetic mean would let it
3. **GNI per capita, not GDP** — and **at PPP**, not market exchange rates

3.2 The related indices

Index	What it adds
IHDI — Inequality-adjusted HDI	Discounts the HDI for inequality in each dimension
GDI — Gender Development Index	Ratio of female to male HDI
GII — Gender Inequality Index	Reproductive health, empowerment, labour market
MPI	Multidimensional poverty — \$1.4
PQLI — Physical Quality of Life Index	Morris D Morris: literacy, infant mortality, and life expectancy at age one. Excludes income entirely

TRAP · PQLI EXCLUDES INCOME; HDI INCLUDES IT

The **Physical Quality of Life Index** was an earlier attempt at a welfare measure and it uses **three indicators with no income component at all** — literacy, infant mortality and life expectancy at age one. The **HDI includes income** as one of its three dimensions.

So a question asking which composite index **omits income** is asking for the **PQLI**. Note also that PQLI uses life expectancy **at age one**, not at birth, precisely because infant mortality is counted separately and would otherwise be double counted.

3.3 Measuring inequality

Tool	What it is
Lorenz curve	A graph of the cumulative share of income against the cumulative share of population . The 45-degree line is perfect equality ; the further the curve sags below it, the greater the inequality
Gini coefficient	The area between the Lorenz curve and the line of equality, as a proportion of the whole triangle. 0 = perfect equality, 1 = perfect inequality
Kuznets curve	The hypothesis that inequality rises then falls as an economy develops — an inverted U

A RISING Gini coefficient means RISING inequality. The direction is the whole question, and the reversed statement is a standard "not correct" option.

CHECK YOURSELF · SESSION 3

1. Name the HDI's three dimensions and four indicators, and the body and year of first publication
2. What kind of mean is used, and why does the choice matter?
3. Name four things the HDI does not measure
4. Which index excludes income, and what are its three indicators?
5. What does a Gini of 0 mean? Does a rising Gini mean more or less inequality?

4. Session 4 — The Welfare Architecture ★★★★★

This section overlaps Module 3 and can be read as revision. It is included because a "which scheme does what" question is among the most likely six marks in Module 4.

Scheme	What it provides
VB-G RAM G Act, 2025 (replacing MGNREGA, 2005)	125 days of guaranteed rural wage employment, from 1 July 2026 — §2.3
National Food Security Act, 2013	Subsidised foodgrain as a legal entitlement ; priority households and Antyodaya
Ayushman Bharat PM-JAY	Health cover of ₹5 lakh per family per year for secondary and tertiary care
PM Awas Yojana	Housing, rural and urban
PM-KISAN	Income support to landholding farmers
Atal Pension Yojana	A guaranteed pension of ₹1,000 to ₹5,000 a month, for the unorganised sector
PMJJBY / PMSBY	Low-premium life and accident insurance — see F7.1
e-Shram	The national database of unorganised workers
Code on Social Security, 2020	Brings gig and platform workers within a contributory framework — F8.3's fourth passage

KNOW · WHY THIS TABLE MATTERS TO THIS PARTICULAR POST

An Assistant Provident Fund Commissioner administers **contributory** social insurance. The schemes above are mostly **non-contributory assistance**, funded from general revenues.

That distinction — the one F8.3's first passage is built on — is the organising idea of the whole Indian social security system, and it explains the coverage gap the **Code on Social Security, 2020** was written to address: contributory schemes reach those with an identifiable employer, and assistance schemes reach the rest.

Expect it in the interview as well as the paper. The strong answer is not a list of schemes but the observation that India runs two parallel systems on different financing principles, and that the growth of platform work sits exactly on the boundary between them.

CHECK YOURSELF · SESSION 4

1. Give the year and the core guarantee of the VB-G RAM G Act and of the NFSA
2. What is the PM-JAY cover, per what unit and how often?
3. Which schemes provide life and accident insurance, and which a guaranteed pension?
4. Distinguish contributory social insurance from social assistance, and place three schemes in each

5. Graded Practice — 20 Questions ★★★★★

Target: 25 to 35 seconds each.

5.1 Level 1 — Poverty and unemployment concepts

- Q1.** The Tendulkar Committee measured poverty on the basis of (a) calorie intake alone (b) household income (c) monthly per capita consumption expenditure (d) land ownership
- Q2.** Relative poverty refers to (a) deprivation judged against the standard of living prevailing in the society (b) inability to afford a fixed calorie norm (c) the complete absence of any income (d) poverty compared across different countries
- Q3.** The Human Development Index was first published in (a) 1980 (b) 1985 (c) 1995 (d) 1990
- Q4.** Which one of the following does the Human Development Index **not** include? (a) Life expectancy at birth (b) The rate of unemployment (c) Expected years of schooling (d) Gross national income per capita
- Q5.** The Human Development Index is computed as the (a) geometric mean of the three dimension indices (b) arithmetic mean of the three dimension indices (c) weighted sum in which income carries double weight (d) harmonic mean of the three dimension indices
- Q6.** Disguised unemployment is most characteristic of (a) urban manufacturing (b) the organised services sector (c) Indian agriculture (d) the information technology industry
- Q7.** Unemployment arising from a mismatch between the skills of workers and the requirements of available jobs is described as (a) cyclical (b) structural (c) frictional (d) seasonal
- Q8.** Cyclical unemployment is caused by (a) technological change (b) a mismatch of skills (c) the agricultural calendar (d) a downturn in aggregate demand

5.2 Level 2 — Measurement

- Q9.** The Periodic Labour Force Survey, now released monthly, is conducted by (a) the National Statistical Office (b) the Labour Bureau (c) NITI Aayog (d) the Reserve Bank of India
- Q10.** The labour force participation rate is the ratio of (a) employed persons to the total population (b) persons in the labour force to the population (c) unemployed persons to the labour force (d) employed persons to the labour force
- Q11.** The unemployment rate is the ratio of unemployed persons to (a) the total population (b) the working-age population (c) the labour force (d) employed persons
- Q12.** The Physical Quality of Life Index, unlike the Human Development Index, excludes (a) literacy (b) infant mortality (c) life expectancy (d) income
- Q13.** The Lorenz curve is used to depict (a) the trade-off between inflation and unemployment (b) the distribution of income or wealth (c) diminishing marginal utility (d) the relationship between tax rates and total revenue

Q14. A Gini coefficient of zero indicates (a) perfect equality (b) perfect inequality (c) an absence of data (d) that half the income accrues to half the population

Q15. India's National Multidimensional Poverty Index is published by (a) the National Statistical Office (b) the Reserve Bank of India (c) NITI Aayog (d) the Ministry of Rural Development

Q16. The three dimensions of the Multidimensional Poverty Index are (a) income, employment and education (b) food, shelter and clothing (c) health, income and housing (d) health, education and standard of living

5.3 Level 3 — Recruitment Test standard

Q17. The statutory rural employment guarantee, as it stands following the VB-G RAM G Act, 2025, is (a) at least 125 days of unskilled manual wage employment in a financial year (b) a monthly cash transfer (c) at least 100 days of unskilled manual wage employment in a financial year (d) free foodgrain throughout the year

Q18. Under Ayushman Bharat PM-JAY, the health cover available is (a) ₹2 lakh per family per year (b) ₹5 lakh per family per year (c) ₹1 lakh per person per year (d) ₹10 lakh per family per year

Q19. Which one of the following statements is **not** correct? (a) Absolute poverty is measured against a fixed line, and relative poverty against prevailing standards (b) The Human Development Index is a composite index taking a value between 0 and 1 (c) Seasonal unemployment is characteristic of agriculture (d) A rise in the Gini coefficient indicates a fall in inequality

Q20. Which one of the following gives the correct chronological order in which these committees reported on the measurement of poverty? (a) Tendulkar, Lakdawala, Rangarajan (b) Rangarajan, Tendulkar, Lakdawala (c) Lakdawala, Tendulkar, Rangarajan (d) Tendulkar, Rangarajan, Lakdawala

6. Answers and Explanations

6.1 Level 1

Q	Ans	Explanation
1	c	Monthly per capita consumption expenditure , with a mixed reference period and the inclusion of health and education spending. Tendulkar is precisely the committee that abandoned the calorie basis , so (a) describes what it moved away from
2	a	Judged against prevailing standards in the society concerned. (b) is absolute poverty — the pair is the commonest conceptual item in the topic
3	d	1990 , in the first Human Development Report, conceived by Mahbub ul Haq with Amartya Sen
4	b	Unemployment is not an HDI component. The three dimensions are health, education and standard of living, and (a), (c) and (d) are the actual indicators. The HDI is deliberately austere — §3.1
5	a	The geometric mean , adopted in 2010. It punishes imbalance , so very low life expectancy cannot be offset by very high income — which an arithmetic mean would permit
6	c	Indian agriculture , where more people are engaged than the work requires, so output would not fall if some withdrew
7	b	Structural — the jobs exist but the skills or the location do not match. Contrast Q8
8	d	A downturn in aggregate demand. Cyclical unemployment disappears in recovery, which is what distinguishes it from structural

6.2 Level 2

Q	Ans	Explanation
9	a	The NSO, under MoSPI . (b) the Labour Bureau conducts other labour surveys and publishes CPI-IW — a real body with a real function, attached to the wrong survey
10	b	Labour force ÷ population . Note (d) is a meaningless ratio and (a) is the WPR — the three rates differ only in numerator and denominator, which is why they are set against one another
11	c	The labour force , not the population. §2.2 — the most examined definition in the topic, and the reason the rate can fall when people stop looking for work
12	d	Income . The PQLI uses literacy, infant mortality and life expectancy at age one, with no income component ; the HDI includes GNI per capita
13	b	The distribution of income or wealth . (a) is the Phillips curve and (d) the Laffer curve — three named curves offered together
14	a	Perfect equality . The Gini runs from 0 (equality) to 1 (one person has everything)
15	c	NITI Aayog publishes the National MPI ; UNDP and OPHI publish the Global MPI . Both attributions get asked
16	d	Health, education and standard of living . Note that income is not a dimension — that is the entire point of a multidimensional measure, and (a) and (c) both smuggle income back in

6.3 Level 3

Q	Ans	Explanation
17	a	125 days per rural household per financial year, under the VB-G RAM G Act, 2025, in force from 1 July 2026. (c) 100 days is the superseded MGNREGA figure and is what almost all existing material still gives. Note that it remains a household entitlement and a legal guarantee , with an unemployment allowance if work is not provided within 15 days — §2.3
18	b	₹5 lakh per family per year. Note the unit is the family , not the individual, which is what (c) tests
19	d	The "not correct" item. A rising Gini means rising inequality. (a), (b) and (c) are all correct. Directional statements about an index are the most reliable place to hide an error, because they read as fluently backwards as forwards
20	c	Lakdawala (1993) » Tendulkar (2009) » Rangarajan (2014). Learn the sequence with Alagh (1979) at its head; chronology questions on this group are common because the four names are easy to confuse

THINK LIKE UPSC · THE FOUR SHAPES IN THIS BANK

- What the index does NOT contain.** Q4, Q12, Q16. **Three of twenty questions** are answered by knowing an omission rather than a content — unemployment is not in the HDI, income is not in the PQLI, income is not a dimension of the MPI. When you learn a composite index, **learn its boundary as deliberately as its contents**
- The denominator.** Q10 and Q11. LFPR, WPR and UR share numerators and differ in denominators, and the unemployment rate's denominator is the **labour force**. Every ratio in this chapter should be memorised as a fraction, not as a phrase
- The direction of an index.** Q14 and Q19(d). Gini up means inequality up; a Lorenz curve further from the 45-degree line means more inequality. **Reversed-direction options are the standard trap in any question about an index**
- The right body, the wrong product.** Q9 and Q15. The Labour Bureau exists and publishes CPI-IW; NITI Aayog publishes the national MPI while UNDP publishes the global one. Module 4's questions are more often about attribution than about economics

7. One-Minute Revision

ONE-MINUTE REVISION · CHAPTER F4.4

LEARN DEFINITIONS, NOT NUMBERS. The machinery of measurement is permanent; the statistics change every round

POVERTY absolute = against a **fixed line** (developing countries) · **relative** = against **prevailing standards** (developed countries)

COMMITTEES IN ORDER Dandekar and Rath (1971) · **Alagh 1979** — calories, 2,400 rural / 2,100 urban (the **RURAL** norm is the **higher**) · **Lakdawala 1993** — State-specific lines, CPI-IW and CPI-AL · **Tendulkar 2009** — MPCE, mixed reference period, health and education included; **ABANDONED** calories · **Rangarajan 2014** — separate baskets, **HIGHER** estimates

MEASURES head count ratio (proportion below) · **poverty gap** (depth) · **squared gap** (severity)

MPI Global: UNDP + OPHI · **National:** NITI AAYOG · **Alkire-Foster** method · **three dimensions:** HEALTH, EDUCATION, STANDARD OF LIVING — income is **NOT** one of them · 12 indicators from NFHS

UNEMPLOYMENT TYPES **disguised** = too many people for the work, **agriculture** · **structural** = wrong skills or location, long-lasting · **cyclical** = demand downturn, reverses in recovery · **frictional** = job search · seasonal · technological · educated / underemployment

THE THREE QUESTIONS too many people for the work? **disguised** · wrong people for the work? **structural** · not enough work for now? **cyclical**

REFERENCE PERIODS Usual Status = 365 days, **LOWEST** rate · Current Weekly = 7 days · Current Daily = half-days, **HIGHEST** rate

THE THREE RATES LFPR = labour force ÷ POPULATION · WPR = employed ÷ POPULATION · UR = unemployed ÷ LABOUR FORCE · labour force = employed + those actively seeking · the UR can FALL because people stop looking — always read LFPR beside it

SURVEY PLFS, by the NSO under MoSPI, from 2017-18, now MONTHLY as well as quarterly and annual · CPI-IW comes from the **Labour Bureau**

LABOUR READING [AS AT 16 AUG 2026] UR about **5.1%** · LFPR about **55.4%** (Mar) and **54.4%** (Jun) · WPR about **52.6%** · **female LFPR about 34.4%** · **urban UR (6.7%) EXCEEDS rural (4.2%)**

RURAL EMPLOYMENT GUARANTEE [AS AT 16 AUG 2026] **MGNREGA 2005 REPLACED by the VB-G RAM G Act 2025** · passed **18–19 Dec 2025, in force 1 JULY 2026** · **125 DAYS, not 100**, per **rural household** · carried over: **legal guarantee**, unemployment allowance if work not

given in **15 days, one-third women, social audit by the Gram Sabha**, demand-driven · **100 days is now the SUPERSEDED answer**

HDI UNDP, Human Development Report, first 1990 · Mahbub ul Haq with Amartya Sen ·
 health = **life expectancy at birth** · education = **mean + expected years of schooling** · living
 = **GNI per capita at PPP · GEOMETRIC mean** (since 2010, punishes imbalance) · range **0 to 1**
 · **does NOT include unemployment, inequality, poverty, gender or environment**

RELATED IHDI inequality-adjusted · **GDI** female-to-male HDI · **GII** reproductive health,
 empowerment, labour market · **PQLI — Morris D Morris: literacy, infant mortality, life**
expectancy at AGE ONE; EXCLUDES INCOME

INEQUALITY Lorenz curve — cumulative income against cumulative population, **45° line =**
equality · Gini 0 = perfect equality, 1 = perfect inequality; RISING Gini = RISING
inequality · Kuznets = inequality rises then falls, an inverted U

WELFARE NFSA 2013 legal entitlement to grain · **PM-JAY ₹5 lakh per FAMILY per year · Atal**
Pension ₹1,000–5,000 a month · PMJJBY life, PMSBY accident · e-Shram database of
 unorganised workers · **Code on Social Security 2020** brings in gig and platform workers

THE ORGANISING IDEA contributory **social insurance** reaches those with an employer; non-
 contributory **social assistance** reaches the rest — and platform work sits on the boundary

8. Five-Minute Wall Sheet

FIVE-MINUTE WALL SHEET · CHAPTER F4.4

ABSOLUTE = FIXED LINE · RELATIVE = PREVAILING STANDARD

ALAGH 1979 CALORIES (2400 RURAL, 2100 URBAN — RURAL IS HIGHER)

LAKDAWALA 1993 · TENDULKAR 2009 (MPCE, DROPPED CALORIES) · RANGARAJAN 2014 (HIGHER)

MPI = HEALTH, EDUCATION, STANDARD OF LIVING. NOT INCOME

GLOBAL MPI = UNDP + OPHI · NATIONAL MPI = NITI AAYOG

DISGUISED = TOO MANY PEOPLE · STRUCTURAL = WRONG SKILLS · CYCLICAL = NO DEMAND

UR = UNEMPLOYED ÷ LABOUR FORCE

LFPR AND WPR ARE ÷ POPULATION

THE UR FALLS WHEN PEOPLE GIVE UP LOOKING — CHECK THE LFPR

USUAL STATUS GIVES THE LOWEST RATE, DAILY STATUS THE HIGHEST

PLFS = NSO/MoSPI, NOW MONTHLY

URBAN UNEMPLOYMENT EXCEEDS RURAL

VB-G RAM G 2025 REPLACED MGNREGA ON 1 JULY 2026: 125 DAYS, NOT 100

STILL PER HOUSEHOLD · STILL A LEGAL GUARANTEE · STILL A 15-DAY ALLOWANCE

HDI: UNDP, 1990, THREE DIMENSIONS, *GEOMETRIC* MEAN, 0 TO 1

HDI HAS NO UNEMPLOYMENT, NO INEQUALITY, NO GENDER

PQLI EXCLUDES INCOME AND USES LIFE EXPECTANCY AT AGE ONE

GINI 0 = EQUAL · RISING GINI = RISING INEQUALITY

PM-JAY = ₹5 LAKH PER FAMILY PER YEAR

LEARN WHAT AN INDEX LEAVES OUT AS CAREFULLY AS WHAT IT PUTS IN

ONE LINE FOR THE INTERVIEW The unemployment rate is a weak summary of the Indian labour market because it is a share of the labour force, and the labour force itself is small — a female participation rate near a third means that most non-working women are counted

neither as employed nor as unemployed, so the headline rate understates the shortfall of work.

ACTION · NEXT

F4.5 — Population, Demography and Globalisation, the last chapter of Module 4. It carries the demographic transition, the census machinery — including the first digital census, now under way — and the external sector.